

Meridian Freight Systems — Annual Operations Review

1. Executive Summary

Meridian Freight Systems closed the year with revenue of 148.6 million dollars across four regional depots. The organisation operates 612 heavy goods vehicles and employs 1,840 people. This review covers fleet upkeep, personnel, safety performance, warehousing, technology and regulatory standing. Each section is self-contained and figures are not repeated between sections.

2. Corporate Structure

The group is organised into four operating divisions reporting to a central executive board. Divisional managers hold profit and loss responsibility for their depot. A shared services function covers payroll, legal and procurement. The board meets eleven times per year. The company was incorporated in 1987 and has been employee-owned since 2004.

3. Fleet Composition Overview

The fleet comprises 612 vehicles: 388 tractor units, 154 rigid trucks and 70 light vans. Average vehicle age is 4.7 years. The replacement cycle targets seven years for tractor units and nine years for rigids. Ninety-one vehicles are scheduled for replacement next year.

4. Fleet Maintenance — Policy and Standards

This page defines how the average maintenance cost per vehicle is calculated for the Northern depot, the Southern depot and the Eastern depot. The average maintenance cost per vehicle is the total maintenance spend divided by the vehicle count at that depot. Average maintenance cost per vehicle is reported quarterly for the Northern depot, the Southern depot and the Eastern depot. Maintenance intervals are set at 12,000 miles for tractor units. Note that this policy page contains no depot figures; the average maintenance cost per vehicle for each depot is given on the individual depot pages that follow.

5. Fleet Maintenance — Northern Depot

The Northern depot maintained 214 vehicles this year. Total maintenance spend was 1.94 million dollars, giving an average maintenance cost per vehicle of 9,065 dollars. Scheduled servicing accounted for 61 percent of that spend. The depot completed 1,284 workshop visits.

6. Fleet Maintenance — Southern Depot

The Southern depot maintained 168 vehicles this year. Total maintenance spend was 1.71 million dollars, giving an average maintenance cost per vehicle of 10,178 dollars. Scheduled servicing accounted for 54 percent of that spend. The depot completed 1,047 workshop visits.

7. Fleet Maintenance — Eastern Depot

The Eastern depot maintained 142 vehicles this year. Total maintenance spend was 1.12 million dollars, giving an average maintenance cost per vehicle of 7,887 dollars. Scheduled servicing accounted for 66 percent of that spend. The depot completed 903 workshop visits.

8. Fuel Procurement

Bulk diesel was purchased under a fixed-price agreement covering 71 percent of consumption. Total diesel volume was 9.8 million litres at an average of 1.42 dollars per litre. The remaining volume was bought on the spot market at an average of 1.58 dollars per litre.

9. Driver Recruitment

The group hired 236 drivers during the year against a target of 210. Median time from application to first shift was 34 days. Agency cover accounted for 8 percent of driving hours. Recruitment spend was 640,000 dollars.

10. Driver Attrition

Attrition among the driving workforce reached 14.2 percent for the year, against 11.8 percent in the prior period. Voluntary departures numbered 187, of which 71 occurred within the first six months of service. Exit interviews cited shift patterns as the most common factor, followed by depot commute distance.

11. Safety Incidents — Classification

Incidents are graded Tier 1 through Tier 4. Tier 1 denotes an event causing injury requiring hospital treatment or vehicle immobilisation. Tier 2 covers reportable damage without injury. Tiers 3 and 4 cover minor damage and near misses respectively. Grading is assigned by the depot safety officer within 24 hours.

12. Safety Incidents — Tier 1 Register, Part One

Nineteen Tier 1 incidents were recorded across the group this year. By depot: Northern seven, Southern six, Eastern four, Western two. Fourteen involved tractor units and five involved rigids. Eleven occurred during night operations. Resolution timings for these incidents are tabulated in the following section.

13. Safety Incidents — Tier 1 Register, Part Two

Mean time to closure for the incidents listed in the preceding section was 23.4 days. The longest single case remained open for 96 days pending an external engineering report. Eight cases closed within a fortnight. No case was closed without a documented root cause.

14. Warehouse Operations — Riverside

The Riverside warehouse handled 412,000 pallet movements this year across 18,600 square metres. Pick accuracy was 99.31 percent. Agency labour covered 22 percent of hours worked. The site operates two shifts.

15. Warehouse Operations — Kingsford

The Kingsford warehouse handled 287,000 pallet movements this year across 12,400 square metres. Pick accuracy was 99.62 percent. Agency labour covered 15 percent of hours worked. The site operates three shifts.

16. Technology and Telematics

Telematics units are fitted to 598 of 612 vehicles. The platform records braking events, idling and route adherence. A driver scorecard was introduced in the second half of the year. Integration with the maintenance scheduler is planned but not yet delivered.

17. Vehicle Downtime Analysis

Aggregate downtime across the fleet totalled 41,300 off-road hours. Unplanned events accounted for 63 percent of that figure. The median off-road duration per event was 19 hours. Parts availability was the largest single contributor, followed by workshop capacity.

18. Procurement Lead Times

Lead time from requisition to delivery averaged 94 days for tractor units and 61 days for trailers. Tyres and consumables averaged 9 days. The longest recorded lead time was 212 days for a specialist refrigeration unit.

19. Regulatory Compliance

The group held an unblemished operator licence throughout the year. Two roadside prohibitions were issued, both for lighting defects, and both were cleared within 48 hours. Tachograph infringements fell to 0.4 per thousand driving hours.

20. Outlook and Risks

The principal risk for the coming year is exposure to a single supplier for refrigeration units, where the recorded lead time is materially longer than for any other component. A second supplier is being qualified. Fuel price volatility and driver availability remain the other two significant exposures.